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United Nations Development Programme

Country/Region/Global: Sri Lanka

Initiation Plan

Project Title: Support for Crisis Relief

Expected UNDAF/CP Outcome(s): By 2022, people in Sri Lanka benefit from improved data and knowledge management to address inequities and ensure inclusive and responsive decision-making.

Expected CPD Output(s): Output 3.2: Evidence-based national development plan(s) informed by sustainable development framework formulated with citizen engagement.

Initiation Plan Start/End Dates: June 2022 to December 2023

Implementing Partner: UNDP

Brief Description

Sri Lanka is experiencing its worst economic crisis that is depriving citizens of a sufficient standard of living. This crisis has had enormous impacts on many sectors, including the healthcare sector, which declared a medical emergency due to a shortage of medical equipment and essential medicines in all government hospitals island wide. Additionally, the country is also facing a looming food crisis, which will have significant health & nutrition implications.

In order to address the supply gap within the domestic healthcare sector and the shortages in the food sector, or other crisis related relief that would require immediate support., UNDP is proposing the establishment of a facility for accepting funds primarily through three mechanisms. They are (1) Private sector contributions, (2) Individual donations through the UNDP website and (3) other donor contributions. These funds will be used to procure and distribute medical supplies to hospitals nationwide, and address food security in Sri Lanka. This process will be overseen by a body that verifies the

Programme Period:	2018-2022
Atlas Project Number:	00144399
Atlas Output ID:	00132178
Gender Marker:	GEN2

Total resources required	1,000,000USD
Total allocated resources:	_____
• Regular	_____
• Other:	
○ Donor	_____
○ Donor	_____
○ Government	_____
Unfunded budget:	1,000,000 USD
In-kind Contributions	_____

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Malin Herwig
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Agreed by UNDP: Malin Herwig, Officer-in-Charge, Deputy Resident Representative, UNDP Sri Lanka

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I. PURPOSE AND EXPECTED OUTPUT

Sri Lanka is experiencing its worst economic crisis since independence in 1948, with foreign currency reserves at a record low. In April 2022, repayment of foreign debt was suspended and import restrictions imposed to manage the forex crisis, which exacerbated shortages in fuel, gas, food and medicine and led to an increase in cost of living by 30-40%. This crisis is a result of a series of significant external and policy decisions that culminated in a reduced tax base, high public debt, low tax revenue, and low public investment, reducing fiscal space for critical necessities such as medicine and severely affecting state-run sectors.

On the 5th of April 2022, the Government Medical Officers' Association (GMOA), one of Sri Lanka's most prominent trade unions, declared a medical emergency, due to a shortage of medical equipment and essential medicines in all government hospitals island-wide. Additionally, the shortage of fuel and the recurrent power cuts has made it difficult for hospitals to maintain daily patient care.

Sri Lanka imports approximately 85 percent of required medical supplies and low foreign currency reserves have severely hindered this. The current Director of Medical Technology Services of the Ministry of Health, Dr. Anver Hamdani, stated that USD $30-40 million is required for the purchase of Sri Lanka's monthly drug requirement. The Ministry of Health has taken several steps to manage the impact of this crisis. Although there have been pledges by the World Bank and the Asian Development Bank, along with an allocation from the Indian Line of Credit to address this shortage, these will take longer to be fully implemented.[1].

Shortages in the healthcare sector have resulted in the functioning of emergency and routine operations, availability of basic pharmaceuticals, and overall health and wellbeing being significantly affected.

The aftermath of the crisis has significantly impacted food security as well, with citizens now reduced to consuming one to two meals a day with deprived levels of nutrition. According to a survey conducted by UNICEF in April 2022, 70 percent of households have reduced their food consumption, primarily due to the rising cost of food. The survey further states that approximately 22 percent of the population are currently in need of assistance. Although relief packages and essential items have been dispatched by neighbouring countries and private sector companies, the capacity to wholly cover the large extent of those impacted, is lacking.

At this crucial juncture, the United Nations Country Team in Sri Lanka, together with partner organizations represented in the Humanitarian Country Team forum, with support from the United Nations Office for the Coordination of Humanitarian Affairs (OCHA), has prepared a Humanitarian Needs and Priorities (HNP) Plan for a 4-month response to address the emergency needs of the most vulnerable and/or affected. The plan will cover agriculture, food, health care and essential medicines, targeted nutrition services, safe drinking water, emergency livelihoods and protection.

Complementing these efforts, the United Nations Development Programme (UNDP) in Sri Lanka is establishing an individual and private sector giving facility to raise funds and mobilize resources to support emergency relief measures, through the procurement and disbursement of medical supplies and strengthen food security in Sri Lanka to alleviate the negative impacts of the socioeconomic crisis in the immediate term.

UNDP has established a facility for channelling funds for emergency relief measures, primarily procurement of emergency health sector support. The facility will achieve this by way of three mechanisms: firstly, by channelling private sector funds towards procuring essential and non-essential medical supplies and food security, secondly, by channelling individual donations through a crowdfunding mechanism set up by UNDP and third by mobilizing other donor contributions (i.e. Sri Lanka Joint SDG Fund). This facility will also be leveraged for crisis relief by UNDP beyond immediate requirements of health care and food security, such as linkages to agriculture and livelihoods.

[1] Retrieved from https://www.sundaytimes.lk/220515/news/health-ministry-formulates-3-ways-to-channel-donations-for-urgently-needed-medicines-482791.html

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An illustration of the overall strategy and the role played by each partner is detailed in the following section.

II. MANAGEMENT ARRANGEMENTS

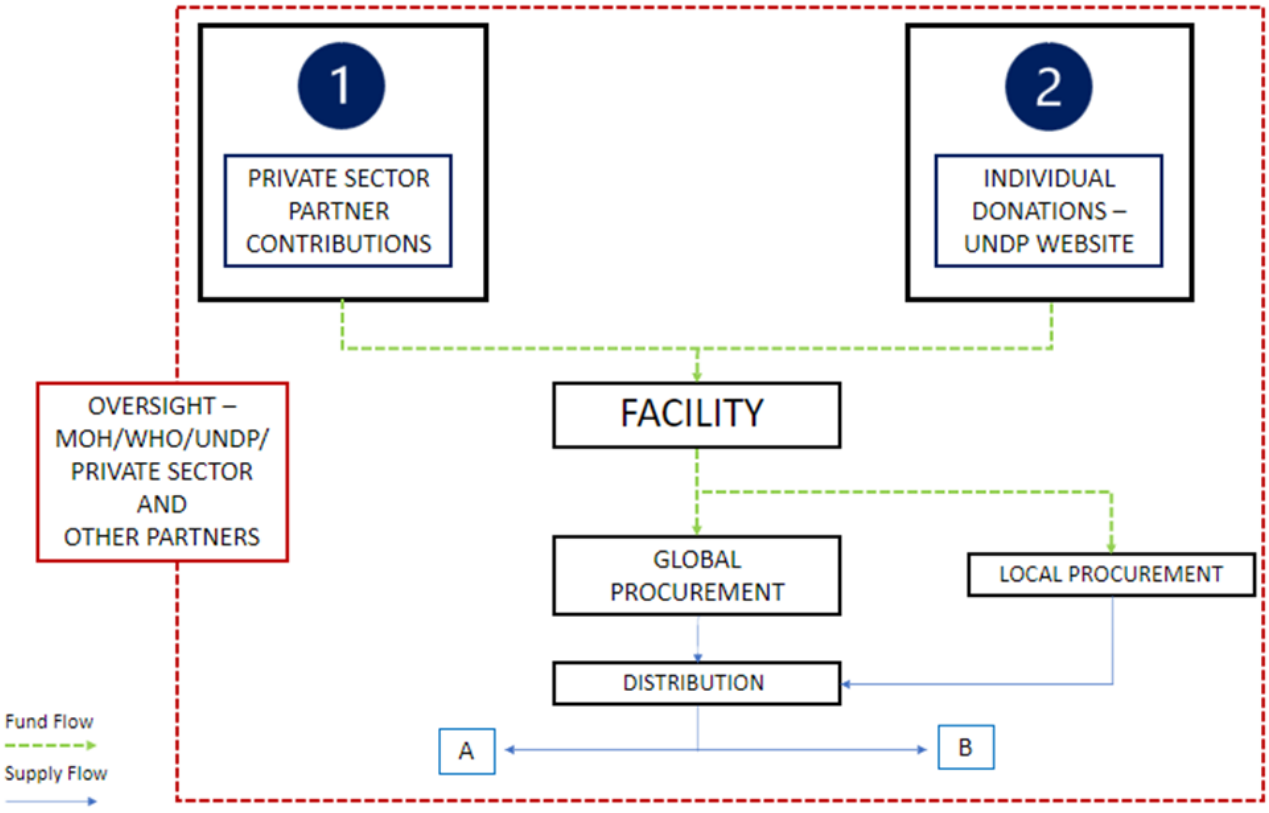
The initiation plan is aligned to the priorities of the Government's response to the ongoing crisis and will be delivered according to the Direct Implementation Modality (DIM). It will be under the direct supervision of the Deputy Resident Representative (DRR). Other relevant UN and government agencies, such as the WHO, World Food Programme (WFP), Food and Agriculture Organization (FAO) and the Ministry of Health and the UN Global Compact, will be consulted and involved for particular outputs and activities, as applicable to the priority area.

The project team will comprise of a Project Manager, who will oversee the planning, monitoring and implementation of activities according the approved annual workplan and budget. The UNDP Program Analyst will ensure quality assurance, aligned with Government Priorities.

The Initiation Plan will be implemented in line with UNDP Program and Operations Policies and Procedures (POPP). The approved resources will be used according to UNDP financial rules and regulations. In addition to this, amounts corresponding with administration and management rates will be contributed to the facility by UNDP Sri Lanka.

As and when the project progresses beyond 18 months, arrangements will be made to convene a project board for governance and oversight of the project.

The strategy followed for the project is illustrated below.



Mechanism 1 - Channelling Private Sector (PS) funds

The private sector in Sri Lanka has historically played a key role in providing support to humanitarian efforts; this was evident during the Tsunami in 2004 and more recently, during the COVID-19 pandemic. Private Sector interest in mitigating the health impacts of current socio-economic fall-out is high, as is evident through the many relief programs that have been rolled out, by way of providing dry rations, livelihood support, basic necessities etc. to vulnerable communities. In addition to targeted initiatives, private sector entities have demarcated allocations for Sustainability and Corporate Social Responsibility (CSR) initiatives that can be channelled to assist with the health crisis.

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Mechanism 1 stipulates how private sector entities can provide financial contributions for the procurement (facilitated through UNDP's national and global systems) of pharmaceutical stocks and medical equipment to an identified hospital of the Ministry of Health in coordination with the Medical Supplies Division (MSD) of the Ministry of Health. Further, the private sector contributions will also be utilized to support food security in Sri Lanka, particularly to address the shortages in the face of the looming food shortage. In addition to food crisis relief, the contributions can also be channelled for other emergency relief measures in line with the Humanitarian Needs and Priorities Plan (HNP).

Mechanism 2 - Channelling individual donations through crowdfunding platforms managed by UNDP Sri Lanka

The established facility also provides the opportunity for individuals to contribute towards alleviating the impacts of the crisis, not only through addressing shortages in the healthcare sector, but also to contribute towards strengthening food security and supporting other emergency relief measures in Sri Lanka.

UNDP will be kickstarting a crowdfunding campaign for raising awareness and drawing support towards alleviating effects of the socioeconomic crisis and funding relief efforts, with a particular emphasis on strengthening the healthcare sector and food security targeting the most vulnerable communities, in line with the HNP. This campaign will draw individuals to a donation page on the UNDP website, following a crowdfunding model that encourages multiple individuals to pool their resources to support the initiative.

Mechanism 3: Mobilizing funding from other donor contributions.

The CO will mobilize funds through this mechanism from donor agencies including bilateral partners. In addition to other contributions, the UN Sri Lanka Joint SDG Fund managed by MPTF is one of the key instruments that will enable such resource mobilization efforts. In the context of the crisis, many donors and bilateral partners have come together to provide support, CO aims to utilise this facility to mobilise funds, in close alignment with RM diversification efforts as identified in the CO Partnerships & Communications Action Plan (PCAP).

The identified partners of this initiative are listed below:

The Ministry of Health

UNDP believes it is best positioned in the current context to support the Ministry of Health (MoH), the primary focal point and representative of all state-run medical institutions nationwide, to achieve the most optimal health status and alleviate pressures on Sri Lanka's health care system, through the Individual and Private Sector Engagement Facility.

The World Health Organization (WHO)

WHO in Sri Lanka is the UN agency working with MoH on health sector-related initiatives. A leading actor within the healthcare sector, WHO has been at the forefront of crisis relief thus far, by assisting the MoH to track availability of medicines, consumables, devices and equipment, making this information available to the public and updating for supplies as and when it is secured.

World Food Programme (WFP) and Food and Agriculture Organization (FAO)

WFP and FAO are co-leaders in the food security and agriculture sectors. WFP, in partnership with the Government of Sri Lanka, works to strengthen food systems and ensure access and availability of food all year round. In this regard, WFP has been a forerunner in the pursuit of alleviating impacts to food access and security since the early beginnings of the crisis by partnering with a number of actors to inform, support and implement relief programs.

Additionally, the FAO's response plan for addressing the food crisis at this juncture has been instrumental in informing state action towards the development of agriculture, fisheries and livestock, in the country.

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The United Nations Global Compact

The United Nations Global Compact (UNGC) Sri Lanka is a collaboration between the UN and Private Sector companies to foster partnerships in advocating for the inclusion of Private Sector engagement. The Global Compact Network Sri Lanka is a local body of the UNGC. It strives to 'sustainably drive Sri Lanka's economic growth' and position Sri Lankan businesses committed to incorporating the Global Compact Ten Principles into their practices onto a global platform.

Global and Local Procurement

The procurement process followed by UNDP Sri Lanka adopt key principles that ensure transparency and accountability to the illustrated strategy; *(1) Best value for money; (2) Fairness and integrity; and (3) Effective competition.* UNDP procurement, built on these principles, has lent to established connections in local and global markets. UNDP procurement will assist the facility by procuring medical supplies, leveraging an extensive network of partners, including local partners such as Sarvodaya, where applicable.

Oversight

UNDP will set the procurement processes in motion based on the updates and requirements shared by WHO, WFP, FAO MOH, and updates received at the Health Cluster Meeting (HCM) and Humanitarian Country Team (HCT). In addition, UNDP will be informed by the input received by the key partners of the project committee, which will meet on a need basis. This will ensure that the overall functions of the facility are run effectively, while ensuring transparency and accountability.

Branding and Communications

Brand Guideline

All partners will receive visibility as per specified branding guidelines on relevant platforms (websites, social media, print/digital media, etc.) as per the agreed upon communications and visibility strategy at the point of agreement. In close consultation with relevant partner agency communications/ marketing focal points, branding and logo placement of content and material produced will be disseminated after relevant clearance is received.

Moreover, upon agreement of a partner of the facility, the relevant agency will also receive visibility on platforms that publicize and campaign for individual contributions as well.

A standard communications text will be used across material when a partner comes on board;

"The Individual and Private Sector Giving Facility is convened by the United Nations Development Programme in Sri Lanka together with the Ministry of Health, the World Health Organization Sri Lanka, the World Food Programme, Food and Agriculture Organization, the United Nations Global Compact Network Sri Lanka, and (your organisation/agency name), to provide emergency relief support in Sri Lanka."

III. MONITORING

In accordance with UNDP's Programme and Operations Policies and Procedures, the project will be monitored following the corporate standards and requirements. The DRR together with the Policy and Engagement Team Lead will be responsible for overall monitoring of the initiation plan, with support as needed from UNDP Country Office.The Integrated Services Team and the Policy & Engagement Team of UNDP will be closely monitoring procurement progress.The Program Analyst

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should be overseeing the monitoring risk management and mitigation, with support from the Results and Resources Management Unit.

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IV. WORK PLAN

Period[2]:

EXPECTED OUTPUTS *And baseline, indicators including annual targets*	PLANNED ACTIVITIES *List activity results and associated actions*	TIMEFRAME						RESPONSIBLE PARTY	PLANNED BUDGET		
		Q1	Q2	Q3	Q4	Q5	Q6		Funding Source	Budget Description	Amount
Output 1 Funds raised and mobilized to support emergency relief measures by the procurement and disbursement of medical supplies and support for improving food security *Baseline:0* *Indicators: number of pledges received, number of private sector partners* *Targets: process related/ target in terms of money raised* *Related CP outcome:*	1. Establish internal mechanism to receive funding/donations into pooled facility - Initial conceptualization and set up "donate" button and related links with UNDP HQ team							UNDP Bureau of External Relations and Advocacy			
	2. Establishing partnerships with private sector actors for donations to the facility - Bilateral meetings to leverage existing partnerships							UNDP			
	3. Procurement related to medical supplies and food security, through pooled funding - Partner with Sarvodaya for local procurement, if needed, and distribution - UNDP procurement for global and local procurement							UNDP, Sarvodaya	Pvt. Sector & Other donors	USD 800,000	
	4. Provision of support through funds collected through individual contributions to improve food security									USD 200,000	

[2] Maximum 18 months

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	5. General evaluation at the end of the project										
TOTAL										USD 1,000,000	